

Exercise on Equilibrium

Suppose the following demand function: $Q^D=9-p$. In addition, suppose the following supply function: $Q^S=2p$ where Q^D is the quantity demanded of a good, Q^S is the supplied quantity of a good and p is the price of a good in \$.

- a. What would be the quantity demanded if the price is 1\$?
- b. What would be the quantity demanded if the price is 8\$?
- c. What would be the quantity supplied if the price is 1\$?
- d. What would be the quantity supplied if the price is 8\$?
- e. What would be the price and the quantity in the equilibrium?
- f. Show it on the graph
- g. What is the producer surplus?
- h. What is consumer surplus?
- i. What is the total social welfare?